

Affle reported a strong performance in Q1FY23 with a big beat on our revenue as well as EBITDA margin estimates on the back of robust converted users as well as CPCU rate

- Revenue at INR 3,475 Mn, +10% qoq / +128% yoy and 4% above our estimate
- EBITDA at INR 687 Mn, +17% qoq / +96% yoy and 10% above our estimates
- EBITDA margin at 19.8% vs 18.6% / 23% in Q4FY22 / Q1FY22 and +120 bps vs our estimates
- EBIT at INR 594 Mn, +20% qoq / +99% yoy and +22% vs our estimates
- EBIT margin at 17.1% vs 15.7% / 19.6% and +140 bps vs our expectations
- Reported PAT at INR 554.5 Mn, -20% qoq / +54% yoy Last year Q1 FY22 and last quarter Q4 FY22 had higher Other income than the current quarter primarily on account of Gain on fair valuation of financial instruments of INR 83 / INR 171 Mn respectively
- Reported EPS at INR 4.2 vs 5.2 / 2.7 in Q4FY22 / Q1FY22
- Normalized PAT (excluding effects of Gain on Fair Value of Financial Instruments and Tax outgo) stood at INR 552 Mn, +5% qoq / +87% yoy and 3% above our estimates
- Normalized EPS stood at INR 4.1 vs 4 / 2.2 in Q4FY22 / Q1FY22 and above our est. INR 4
- Converted Users in CPCU business stood at 61.9 Mn vs 56.6 Mn / 31.5 Mn in Q4FY22 / Q1FY22
- Average CPCU rate stood at INR 52.1 in Q1FY23 vs INR 51.1 / 42 in Q4FY22 / Q1FY22

Rating	TP (Rs)	Up/Dn (%)
BUY	1,419	28

Market data

Current price	Rs	1,106
Market Cap (Rs.Bn)	(Rs Bn)	147
Market Cap (US\$ Mn)	(US\$ Mn)	1,860
Face Value	Rs	2
52 Weeks High/Low	Rs	1511 / 763.02
Average Daily Volume	('000)	290
BSE Code		542752
Bloomberg		AFFLE.IN

Source: Bloomberg

One Year Performance


Source: Bloomberg

% Shareholding	Jun-22	Mar-22
Promoters	59.89	59.89
Public	40.05	40.11
Total	100	100

Source: BSE

Financial Summary

Y/E Mar (Rs mn)	FY 20	FY 21	FY 22	FY 23E	FY 24E
Net sales	3,338	5,168	10,817	15,261	19,254
EBITDA	879	1,297	2,134	3,155	4,168
Adjusted net profit	655	1,029	2,266	2,878	3,780
Free cash flow	1,179	1,061	1,540	1,961	3,249
EPS (Rs)	5.2	10.2	17.0	21.6	28.4
growth (%)	30%	95%	67%	27%	31%
P/E (x)	211.4	108.3	65.0	51.2	38.9
P/B (x)	64.3	41.0	12.5	10.0	8.0
EV/EBITDA (x)	166.8	113.2	66.9	44.2	32.8
ROCE (%)	27.4	19.7	12.9	15.3	17.1
RoE (%)	28.6	37.8	19.2	19.6	20.5
Dividend yield (%)	-	-	-	-	-

Source: Company

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Conference Call Key Highlights

- Organic growth stood at 45% YoY. Jampp contributed INR 1,263 Mn to Q1FY23 revenue.
- Jampp's EBITDA margin stood at ~10% and contribution to EBITDA is less than 20%
- Android's latest development of stopping full-screen and unexpected ads in Games and other apps has little bearing on Affle as revenues are fairly diversified. Gaming contributes ~10% to Affle's topline
- Although funding for start-ups and new-age companies is getting squeezed, Affle's ROI linked user conversion model fits best for these companies as they will now focus only on highly efficient user converting advertisements.
- Management is closely watching macroeconomic developments but confident of delivering strong long-term growth as Affle is focused on emerging markets (almost 80% of business is from EMs) versus peers which are focused on developed markets. Base in the US market is very small. Affle's growth in the Android segment in US is strong and the company is in Top 10 for Apple devices as well.
- Affle has strong play and capabilities in short-video mobile and connected TV ads
- Affle has no exposure to browser ads, therefore any changes in Google's policy on cookies has no impact on Affle
- Acquiring Data sets on iOS has become difficult now versus earlier. However, Affle is majorly present in Android and Emerging Markets and 95% of emerging market is on android and 5% is from Apple. Therefore, there is no cause for worry

Quarterly Performance Analysis

Exhibit 1

Particulars	Q2FY21	Q3FY21	Q4FY21	FY21	Q1FY22	Q2FY22	Q3FY22	Q4FY22	FY22	Q1FY23
Converted Users (Mn)	28.1	30.6	29.6	105.3	31.5	48.7	58.5	56.6	195.3	61.9
Q-o-Q Growth (%)	65%	9%	-3%		6%	55%	20%	-3%		9%
Y-o-Y Growth (%)	52%	46%	82%	46%	85%	73%	91%	91%	85%	97%
Average CPCU (INR)	40.3	41.0	40.9	40.8	42.0	51.3	51.8	51.1	49.1	52.1
Q-o-Q Growth (%)	-2%	2%	0%		3%	22%	1%	-1%		2%
Y-o-Y Growth (%)	-3%	0%	2%	-1%	2%	27%	26%	25%	20%	24%
CPCU Revenue (Mn)	1132	1255	1211	4296	1323	2498	3030	2892	9579	3225
Q-o-Q Growth (%)	62%	11%	-4%		9%	89%	21%	-5%		12%
Y-o-Y Growth (%)	47%	46%	85%	45%	90%	121%	142%	139%	123%	144%

Converted users stood at 61.9 Mn in Q1FY23 while Average CPCU rate stood at INR 52.1, highest ever since the Jampp acquisition

Converted Users increased by 9% qoq

Source: Dalal & Broacha Research, Company

Exhibit 2 – Quarterly Trend of CPCU and non-CPCU business

Consumer Plat form	Q4FY21	FY21	Q1FY21	Q2FY22	Q3FY22	Q4FY22	FY22	Q1FY23
CPCU	1210.0	4295.3	1322.7	2501.2	3033.8	2882.1	9739.7	3224.6
Q-o-Q (%)	-4%		9%	89%	21%	-5%		12%
Y-o-Y (%)	85%		17%	99%	151%	138%	127%	144%
non-CPCU	176.0	779.9	183.8	229.4	329.6	240.4	983.2	250.2
Q-o-Q (%)	-22%		4%	25%	44%	-27%		4%
Y-o-Y (%)	39%		-7%	2%	87%	37%	26%	36%
Total Consumer Plat form	1386	5075.2	1506	2731	3363	3122	10722.9	3475
Q-o-Q (%)	-6.3%		9%	-46%	123%	14%		11%
Y-o-Y (%)	78%		13%	85%	143%	125%	111%	131%

CPCU business reported a growth of 12% qoq

Non-CPCU business grew 4% qoq

Source: Dalal & Broacha Research, Company

Valuation & Outlook

At current level of INR 1,105, the stock is trading at 51.2x / 38.9x FY23e / FY24e EPS. Despite the weak global economic cues and sentiments, Affle continues to report steady and strong growth coupled with margin expansion.

Google withdrawing cookies on its browser has no bearing on Affle as it deals only in in-app advertisements. Google's action of stopping intrusive and unexpected ads in gaming and other apps has minimal to no impact as Affle's revenues are diversified and it draws ~10% of revenue from Gaming vertical.

Management allayed fears of funding squeeze in the start-up and new age company ecosystem by stating that these companies continue to spend for user conversion – which is Affle's forte.

We remain aggressively optimistic on the prospects of the company given the high industry growth rate coupled with Affle's strong fundamentals and therefore recommend a BUY rating on the stock with a target price of INR 1,419.

Financials

Profit & Loss Statement

YE March (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Revenue from Operations	3338	5168	10817	15261	19254
% Growth	34%	55%	109%	41%	26%
Operating Expenses					
Inventory and Data Costs	1921	2977	6789	9607	12019
Employee Benefit Expense	273	540	1296	1730	2043
Other Expenses	265	354	597	769	1024
Total Operating Expenses	2459	3871	8682	12106	15086
EBITDA	879	1297	2134	3155	4168
Growth (%)	25%	48%	65%	48%	32%
EBITDA Margin (%)	26%	25%	20%	21%	22%
Less: Depreciation	133	197	324	383	429
EBIT	746	1100	1810	2772	3739
Growth (%)	24%	48%	65%	53%	35%
EBIT Margin (%)	22%	21%	17%	18%	19%
Interest Paid	14	36	12	10	9
Other Income	61	415	714	546	770
PBT	792	1479	2512	3309	4500
Tax Expenses	137	120	245	430	720
Net Profit	655	1359	2266	2878	3780
Adjust PAT	655	1029	2266	2878	3780
Growth (%)	34%	57%	120%	27%	31%
APAT Margin (%)	20%	20%	21%	19%	20%
EPS	5.2	10.2	17.0	21.6	28.4
Growth (%)	30%	95%	67%	27%	31%
Adj. EPS	5.2	10.1	15.2	21.6	28.4
Growth (%)	30%	94%	50%	42%	31%

Financial Ratio Analysis

YE March (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Profitability Ratios					
ROE (%)	29%	38%	19%	20%	20%
ROCE (%)	27%	20%	13%	15%	17%
ROA (%)	12%	12%	9%	9%	10%
Valuation Ratios					
Book Value (Rs.)	17	27	89	110	138
P/E (x)	211	108	65	51	39
P/BV (x)	64	41	12	10	8
EV/EBITDA (x)	167	113	67	44	33
Market Cap. / Sales (x)	44	28	14	10	8
Market Cap	1,47,241	1,47,241	1,47,241	1,47,241	1,47,241
Net Cash	627	460	4562	9231	11769
Net Debt	-627	-460	-4562	-9231	-11769
Dividend Payout Ratio (%)	0%	0%	0%	0%	0%
Current Market Price	1105	1105	1105	1105	1105

Balance Sheet					
Particulars	FY20	FY21	FY22	FY23E	FY24E
EQUITY					
Equity Share Capital	255	255	267	267	267
Other Equity	2037	3337	11527	14405	18186
Total Equity	2292	3592	11794	14672	18452
LIABILITIES					
Non-Current Liabilities					
<i>Financial Liabilities</i>					
Borrowings	281	893	891	543	493
Other Non-Current Financial Liabilities	118	1067	1218	2917	2917
Total Non-Current Liabilities	433	1998	2188	3485	3435
Current Liabilities					
<i>Financial Liabilities</i>					
Borrowings	357	275	593	543	493
Trade Payables					
Others	743	1256	2517	3483	4340
Other Financial Liabilities	70	242	788	692	817
Total Current Liabilities	1276	1936	4288	4852	5819
Total Equity and Liabilities	4000	7526	18269	23009	27706
Non-Current Assets					
Property Plant & Equipment					
Gross Block	24	223	559	1308	1908
Less: Depreciation	14	210	535	918	1347
Net Block	10	13	24	390	561
Investment in Associates			1345	1345	1345
Goodwill	1107	3149	6163	6163	6163
Other Intangible Assets	474	425	804	965	1158
Intangible Assets Under Development	48	403	422	763	963
Financial Assets					
Investments	0	996	0	500	750
Loans	13	13	50	13	13
Total Non-Current Assets	1689	5018	8811	10159	10972
Current Assets					
Financial Assets					
Trade Receivables	744	1079	2347	3303	4167
Cash and Cash Equivalent s	696	491	3163	8471	10726
Other Bank Balances	569	141	2883		
Total Current Assets	2321	2507	9458	12850	16734
Total Assets	4010	7525	18269	23009	27706

Cash Flow Statement					
Particulars	FY20	FY21	FY22	FY23E	FY24E
PAT	655	1359	2266	2878	3780
Less: Non Operating Income	-61	-415	-714	-546	-770
Add: Depreciation	133	197	324	383	429
Add: Interest Paid	14	36	12	10	9
Operating Profit before WC Changes	742	1177	1889	2724	3448
(Inc)/Dec in Current Assets	-370	-818	-1537	-966	-1629
Inc/(Dec) in Current Liabilities	504	660	2352	564	967
Net Cash Generated From Operations	876	1019	2703	2322	2786
Cash Flow from Investing Activities					
(Inc)/Dec in Fixed Assets	-1182	-2547	-3748	-1251	-993
(Inc)/Dec in Investment (Strategic)	-37	-978	1013	-517	-250
(Inc)/Dec in Investment (Others)	-12	0	-37	37	0
Add: Non Operating Income	61	415	714	546	770
Net Cash Flow from Investing Activities	-1169	-3110	-2058	-1184	-472
Cash Flow from Financing Activities					
Less: Interest Paid	-14	-36	-12	-10	-9
Net Cash Flow from Financing Activities	1244	1470	6113	1288	-59
Net Inc/Dec in cash equivalent s	950	-622	6758	2425	2255
Opening Balance	305	1265	632	6046	8471
Closing Cash and Cash Equivalent s	1255	643	6046	8471	10726

Free Cash Flow Statement					
INR Mn	FY20	FY21	FY22	FY23E	FY24E
EBITDA	879	1297	2134	3155	4168
FC Investment	9	199	734	1251	993
WC Changes	134	-158	814	-403	-662
Depreciation Tax Shield	23	16	32	50	69
Tax Expenses	152	105	245	410	667
FCFF	1179	1061	1540	1961	3249

Source: Dalal & Broacha Research, Company

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